Moody's

First Quarter 2012 Earnings Call

April 26, 2012

Overview

SALLI SCHWARTZ
GLOBAL HEAD OF INVESTOR RELATIONS

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2012 and other forward-looking statements in this release are made as of April 26, 2012, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt securities issued, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the economic slowdown; possible loss of market share through competition; introduction of competing products or technologies by other companies; pricing pressures from competitors and/or customers; the potential emergence of government-sponsored credit rating agencies; both proposed and recently adopted U.S., foreign, state and local legislation and regulations, including the Dodd-Frank Wall Street Reform and Consumer Protection Act; regulations relating to the oversight of credit rating agencies; provisions in the Dodd-Frank Act modifying pleading and liability standards applicable to credit rating agencies in a manner adverse to rating agencies; possible judicial decisions in various jurisdictions regarding the status of and potential liabilities of credit rating agencies; the possible loss of key employees; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those legacy tax and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; the outcome of other legal actions to which the Company, from time to time, may be named as a party; the ability of the Company to successfully integrate acquired businesses; a decline in the demand from financial institutions for credit risk management tools; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2011 and in other filings made by the Company from time to time with the Securities and Exchange Commission. This presentation includes certain non-GAAP financial measures as defined under SEC rules. As required by SEC rules, at the end of this slide presentation we have provided a reconciliation of those measures to the most directly comparable GAAP measures. A copy of this presentation, including the relevant reconciliation slides, is available on Moody's investor relations website http://ir.moodys.com.

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Raymond McDaniel, President and Chief Executive Officer
Linda Huber, Executive Vice President and Chief Financial Officer
Michel Madelain, President and Chief Operating Officer, Moody's Investors Service
Mark Almeida, President, Moody's Analytics

1. First Quarter 2012 Results

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

First Quarter 2012 Results and Comparison to First Quarter 2011

Moody's Corporation

» Revenue	↑ 12% to $647 million
» Operating Income	↑ 8% to $269 million
» Reported EPS	↑ 13% to $0.76

2. Financial and Operating Highlights

LINDA HUBER
EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

First Quarter 2012 Results and Comparison to First Quarter 2011

Moody's Corporation Revenue

» Total Global	↑ 12% at $647 million
» U.S.	↑ 14% to $344 million
» Non-U.S.	↑ 10% to $303 million • 47% of Total Global
» Recurring revenue	• 51% of Total Global

First Quarter 2012 Results and Comparison to First Quarter 2011

MIS Revenue by Geography

» Total MIS	↑ 10% to $453 million
» U.S.	↑ 13% to $259 million
» Non-U.S.	↑ 6% to $194 million • 43% of Total MIS

First Quarter 2012 Results and Comparison to First Quarter 2011

MIS Revenue by Line of Business

» Corporate Finance: $201 million
- Global ↑ 10%
- U.S. ↑ 8%
- Non-U.S. ↑ 15%

» Structured Finance: $94 million
- Global ↑ 5%
- U.S. ↑ 15%
- Non-U.S. ↓ 2%

First Quarter 2012 Results and Comparison to First Quarter 2011

MIS Revenue by Line of Business

- Financial Institutions: $79 million
  - Global ↑ 2%
  - U.S. ⟷ flat
  - Non-U.S. ↑ 4%

- Public, Project & Infrastructure Finance: $79 million
  - Global ↑ 23%
  - U.S. ↑ 37%
  - Non-U.S. ↑ 4%

First Quarter 2012 Results and Comparison to First Quarter 2011

MA Revenue by Geography

» Total MA	↑ 18% to $194 million
» U.S.	↑ 19% to $85 million
» Non-U.S.	↑ 17% to $109 million • 56% of Total MA

First Quarter 2012 Results and Comparison to First Quarter 2011

MA Revenue by Line of Business

» Research, Data and Analytics	↑ 9% to $120 million
» Enterprise Risk Solutions	↑ 11% to $48 million
» Professional Services	↑ 126% to $27 million

First Quarter 2012 Results and Comparison to First Quarter 2011

Moody's Corporation

» Total expenses — ↑ 16% to $378 million

» Operating margin — • 41.6%
  – 43.3% in 1Q11

» Effective tax rate — • 32.1%
  – Down from 33.2% in 1Q11, primarily due to benefits derived from international tax initiatives and tax audit settlements, partially offset by miscellaneous discrete items

Capital Allocation and Balance Sheet

- During 1Q12 did not repurchase any shares but issued 2.6 million shares under employee stock-based compensation plans

- Actual shares outstanding totaled 225 million at March 31, 2012
  - Decreased 1% from March 31, 2011

- $0.9 billion of share repurchase authority remaining as of March 31, 2012

- Moody's expects approximately $200 million of share repurchase over the course of 2012, subject to available cash flow, market conditions, and other, ongoing capital allocation decisions

- At March 31, 2012, Moody's had:
  - $1.2 billion of outstanding debt
  - $1.0 billion of additional debt capacity under credit facility (new facility entered into 4/18/12 for 5-year term)
  - Cash and cash equivalents of $815 million, approximately 80% of which were maintained outside the U.S.

3. Regulatory Developments

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Regulatory Developments

United States: *(the following developments are related to the Dodd-Frank Act)*

- SEC is expected to adopt final rules relevant to NRSROs by year-end 2012
- SEC study about the feasibility of establishing an alternative system for allocating credit rating assignments for structured finance products is expected to be completed by year-end 2012

European Union:

- Transfer of oversight of registered credit rating agencies to ESMA became effective in July 2011
- Moody's received its EU registration by ESMA in October 2011
- ESMA published its first inspection report in March 2012 and did not identify any breaches of the current regulations by Moody's
- European Commission formally proposed new rules for the rating agency industry (CRA3) in November 2011; these rules are subject to review, modification and approval by the European Parliament and the Council of European Finance Ministers

4. 2012 Outlook

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

MCO 2012 Full-Year Financial Outlook

» MCO Revenue	↑ low-double-digit % range
» MCO Expenses	↑ low-double-digit % range
» MCO Operating Margin	• approximately 39%
» MCO Effective Tax Rate	• approximately 33%
» MCO EPS	• $2.62 - $2.72 (expect to be toward the upper end of the range)
» Share Repurchase	• approximately $200 million (subject to available cash flow, market conditions, and other, ongoing capital allocation decisions)

Refer to "Moody's Corporation Reports Results for First Quarter 2012" press release for a full review of guidance

MIS 2012 Full-Year Revenue Outlook

MIS

» Global	↑	mid- to high-single-digit % range
» U.S.	↑	low-double-digit % range
» Non-U.S.	↑	low-single-digit % range
» Corporate Finance	↑	low-double-digit % range
» Structured Finance	↔	flat to slightly up
» Financial Institutions	↔	flat to slightly up
» Public, Project & Infrastructure	↑	mid-teens % range

Refer to "Moody's Corporation Reports Results for First Quarter 2012" press release for a full review of guidance

MA 2012 Full-Year Revenue Outlook

MA

» Global	↑ high-teens % range
» U.S.	↑ high-teens % range
» Non-U.S.	↑ high-teens % range
» Research, Data & Analytics	↑ mid-single-digit % range
» Enterprise Risk Solutions	↑ low 20’s % range
» Professional Services	↑ approximately 80%

Refer to “Moody’s Corporation Reports Results for First Quarter 2012” press release for a full review of guidance

5. Q&A Session

- Raymond McDaniel

  President and CEO, Moody's Corporation

- Linda Huber

  Executive Vice President and Chief Financial Officer, Moody's Corporation

- Michel Madelain

  President and Chief Operating Officer, Moody's Investors Service

- Mark Almeida

  President, Moody's Analytics

Replay Details

» Available from 3:30pm (Eastern Time) April 26, 2012 until 11:59pm (Eastern Time) May 25, 2012

» Telephone Details:
  - U.S. 1-888-203-1112
  - Non-U.S. +1-719-457-0820
  - Passcode 3921834

» Webcast Details:
  - Go to http://ir.moodys.com
  - Click on "Events & Presentations" featured on the left
  - Click on the link for "Q1 2012 Earnings Conference Call"

Appendix

Consolidated Statements of Operations (Unaudited)

Amounts in millions, except per share amounts	Three Months Ended March 31, 2012	Three Months Ended March 31, 2011
Revenue	**$ 646.8**	**$ 577.1**
Expenses:		
Operating	185.5	160.8
Selling, general and administrative	168.8	148.5
Depreciation and amortization	23.5	17.7
Total expenses	**377.8**	**327.0**
Operating income	**269.0**	**250.1**
Non-operating (expense) income, net		
Interest (expense) income, net	(10.3)	(18.2)
Other non-operating (expense) income, net	(0.1)	3.3
Total	(10.4)	(14.9)
Income before provision for income taxes	**258.6**	**235.2**
Provision for income taxes	83.1	78.1
Net income	175.5	157.1
Less: net income attributable to noncontrolling interests	2.0	1.6
Net income attributable to Moody's Corporation	**$ 173.5**	**$ 155.5**

	2012	2011
Earnings per share attributable to Moody's common shareholders		
Basic	$ 0.78	$ 0.68
Diluted	$ 0.76	$ 0.67
Weighted average number of shares outstanding		
Basic	223.4	228.9
Diluted	227.4	231.4

Supplemental Revenue Information (Unaudited)

Amounts in millions	Three Months Ended March 31, 2012	2011
Moody's Investors Service		
Corporate Finance	$ 200.5	$ 181.8
Structured Finance	94.3	89.4
Financial Institutions	78.8	76.9
Public, Project and Infrastructure Finance	79.1	64.5
Intersegment royalty	17.1	16.0
Sub-total MIS	469.8	428.6
Eliminations	(17.1)	(16.0)
Total MIS revenue	452.7	412.6
Moody's Analytics		
Research, Data and Analytics	119.5	109.6
Enterprise Risk Solutions	48.1	43.2
Professional Services	26.5	11.7
Intersegment revenue	3.0	2.6
Sub-total MA	197.1	167.1
Eliminations	(3.0)	(2.6)
Total MA revenue	194.1	164.5
Total Moody's Corporation revenue	**$ 646.8**	**$ 577.1**

Moody's Corporation revenue by geographic area	2012	2011
United States	$ 344.0	$ 301.4
International	302.8	275.7
	$ 646.8	**$ 577.1**

Consolidated Interest (Expense) Income, Net (Unaudited)

Amounts in millions	Three Months Ended March 31, 2012		Three Months Ended March 31, 2011	
Interest (expense) / income:				
Expense on borrowings	**$**	**(16.4)**	$	(16.4)
Income		**1.3**		1.0
UTPs and other tax related liabilities		**5.0**		(3.6)
Interest capitalized		**(0.2)**		0.8
Total interest (expense) income, net	**$**	**(10.3)**	$	(18.2)

Selected Consolidated Balance Sheet Data (Unaudited)

Amounts in millions

	March 31, 2012	December 31, 2011
Cash and cash equivalents	$ 814.7	$ 760.0
Short-term investments	13.3	14.8
Total current assets	1,526.6	1,424.4
Non-current assets	1,467.8	1,451.7
Total assets	2,994.4	2,876.1
Total current liabilities	1,011.5	1,134.0
Total debt [1]	1,236.8	1,243.8
Other long-term liabilities	684.9	667.5
Total shareholders' equity (deficit)	91.2	(158.4)
Redeemable noncontrolling interest*	69.4	60.5
Total liabilities, redeemable noncontrolling interest and shareholders' equity (deficit)	2,994.4	2,876.1
Actual number of shares outstanding	224.7	222.4

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

[1] Total debt consists of the following:	March 31, 2012	December 31, 2011
Series 2005-1 Notes due 2015 [a]	308.2	311.5
Series 2007-1 Notes due 2017	300.0	300.0
2008 Term Loan due 2013 [b]	131.3	135.0
2010 Senior Notes due 2020 [c]	497.3	497.3
Total debt [d]	$ 1,236.8	$ 1,243.8

[a] Includes an $8.2 million and $11.5 million fair value adjustment on an interest rate hedge at March 31, 2012 and December 31, 2011, respectively.

[b] Various payments through 2013.

[c] Represents $500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount.

[d] Of the total debt shown in the table above, $99.4 million and $71.3 million are classified within total current liabilities at March 31, 2012 and December 31, 2011, respectively, and consist of the current portion of borrowings under the 2008 Term Loan.

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